



Cambridge O Level

ECONOMICS

Paper 1 Multiple Choice

2281/12

May/June 2023

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done!

This document has **12** pages. Any blank pages are indicated.

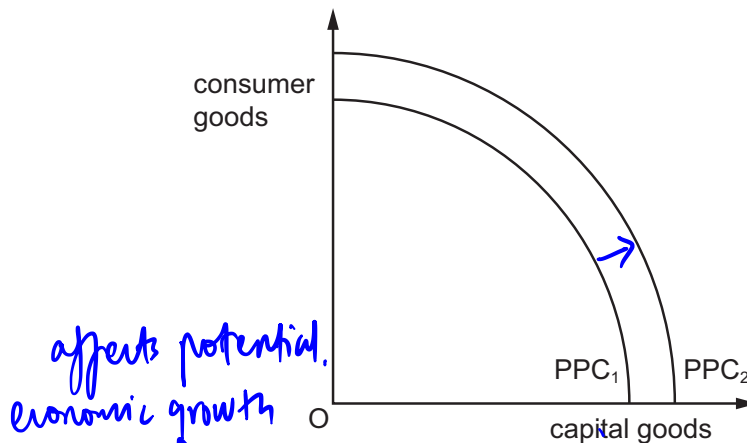
2

Basic economic problem :-
Unlimited wants
Limited resources
Scarcity

1 What is part of the economic definition of scarcity?

- A high levels of taxation
- B low levels of investment
- C unequal distribution of income
- ☒ D unlimited consumer wants

2 A country's production possibility curve (PPC) moves from PPC₁ to PPC₂.



What could cause this movement in the PPC?

Increases actual point inside PPC

	better education	higher investment	lower unemployment
A	false	false	true
B	false	true ✓	false ✓
C	true ✓	false	true
☒ D	true ✓	true ✓	false ✓

3 A government spends \$100m on subsidising wind farm construction instead of spending it on an increase in healthcare.

Which economic concept does this spending decision illustrate?

- A external cost *Affects third party, negative externality*
- B free goods *Unlimited in supply, e.g. sunlight, no opportunity cost*
- C market disequilibrium *Shortage or surplus*
- ☒ D opportunity cost

Next best alternative forgone

Subsidy vs Health care

4 What is an example of a macroeconomic indicator?

- A agricultural prices
- B average earnings in the secondary sector
- ☒ C real Gross Domestic Product (real GDP)
- D total costs of German pharmaceutical firms

represents purchasing power,
as it is adjusted with inflation

→ real GDP/output/income

↓
macroeconomic

5 Good X is demanded in two areas, Y and Z. The table shows the amount of X demanded in these areas at different prices.

price of good X (US\$)	quantity demanded per month	
	area Y	area Z
5	1000	200
10	800	150
15	600	100
20	400	50
25	200	0

greater quantity
demanded per month
at the same price
by area Y consumers
than area Z.

What can be concluded from the table?

☒ A Consumers in area Y are more willing and able than consumers in area Z to buy good X.

B Consumers in area Y are richer than consumers in area Z. → Income not available

C Consumers in area Y want the good more than consumers in area Z. → It's not about

D There are more consumers living in area Y than in area Z.
→ Number of consumer's data not available
want, it's about ability.

6 Which price elasticity of demand (PED) would cause an increase in total revenue if the price of the good increased?

A perfectly elastic

(Price remains same) (Homogeneous products)

B relatively elastic

(Substitutes) (P ↑ Q ↓ TR ↓)

☒ C relatively inelastic

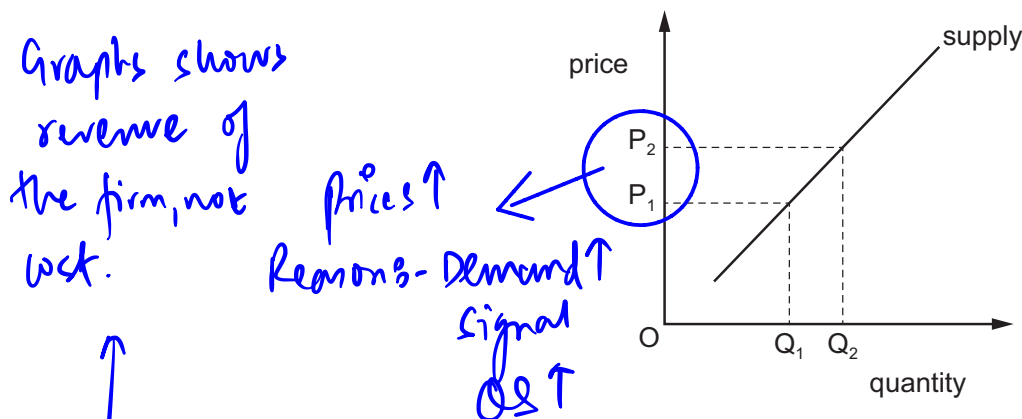
D unitary elastic

→ Unitary (Total revenue = unchanged)

Inelastic (no close substitutes)

Price ↑ Q ↓ TR ↑

- 7 The diagram shows the supply curve for coffee.



The price of coffee increases from P_1 to P_2 .

How would this benefit firms in the coffee industry?

- A A higher price gives firms the ability to increase profits. (signal received)
- B A higher price gives firms the incentive to reduce total fixed costs.
- C A higher price will encourage consumers to buy more coffee increasing total revenue.
- D A higher price will encourage less firms to enter the market to supply coffee.

Higher price discourages consumers

More firms will enter → Positive externalities

8 What might be an external benefit of an increase in the number of university graduates in an economy?

- A an increase in revenue for the universities from fee-paying students Private benefit
- B an increase in tax revenue from a more productive labour force Benefit to the government (3rd party)
- C an increase in graduate employment as a percentage of the working population
- D an increase in wages for graduates private benefit

- 9 The price of a good increases.

What could cause this?

- A The cost of raw materials falls. cost ↓, Supply ↑, prices ↓
- B The incomes of consumers rise. Income ↑, Demand ↑, shortage, prices ↑
- C The price of a complement rises. price cost ↑, Demand petrol ↓, price ↓
- D The price of a substitute falls.

Price ↓, Depress ↓, prices ↓

Also known as
price control
Below the equilibrium

10 Imposing a maximum price for a good is an example of which type of government policy?

- A fiscal (Tax and Government Spending)
- B monetary (Money supply, interest rate)
- ✓ C regulation → law (control)
- D supply-side (AS ↑)

11 Savers suffer as inflation rises to 4.4%.

Which function of money is most involved in this statement?

- A means of deferred payments
- B medium of exchange
- ✓ C store of value
- D unit of account

→ Savers linked to store of value
because inflation erodes the
value of saving.

* The measure of value is the function of money that enables the values of different goods and services to be compared, also referred to as a unit of value.

12 One of the functions of money is to act as a measure of value.

What does this mean?

- A Money allows people to borrow and lend. (Deferred payments)
- B Money allows people to save their surplus income. (Store of value)
- C Money is used to buy goods and services. (Medium of exchange)
- ✓ D Money is used to compare the worth of different goods and services. (read the content above)

13 Which trade union activity will be ^{+ve} beneficial for firms?

- A balloting for industrial action to prevent redundancies
- B campaigning to raise wages of trade union members
- C instructing workers to strike over a safety dispute
- ✓ D providing training which raises productivity of workers

→ Redundancies prevented,
lost to the firm
→ wages ↑, cost ↑
→ strike, cost ↑

→ Productivity ↑, benefits firms.

14 What is not a variable cost of production?

- A cost of fuel VC
- B cost of raw materials VC
- C extra pay for working additional hours VC
- ✓ D rent of offices fixed cost

6

15 What is a definition of a firm's revenue?

- A money received from sales
- B sales volume
- C surplus over costs
- D tax payments

→ Government revenue

$$TR = \text{Price} \times \text{Quantity}$$

Disadvantages of a business
growing too large

Decisions taken by the firm which increases per unit cost.

rise in average cost (per unit cost)

16 What could cause internal diseconomies of scale for a firm?

- A a fall in demand for the products produced by the firm
- B a merger with another firm that results in slower decision-making
- C spending more on research and development to create new products
- D the lack of skilled labour in the geographical area where the firm is based

Affects revenue

Firm's decision

External

→ Not internal action

Also this benefits the firm

17 A government decides to leave direct taxes unchanged but to increase indirect taxes.

What is this policy intended to achieve?

- A to increase the value of the exchange rate
- B to redistribute income from higher to lower income groups
- C to reduce a budget deficit
- D to reduce the rate of inflation

connected to interest rate

NO, rise in indirect tax affects poor negatively.

To redistribute, Direct tax ↑.

Direct tax needs to be changed

Generate greater tax revenue, budget deficit ↓

18 What is the **most** likely reason to increase government subsidies?

- A to decrease consumption of a merit good
- B to increase consumption of a merit good
- C to decrease consumption of a demerit good
- D to increase consumption of a demerit good

Subsidy, cost ↓, prices ↓, consumption ↑

See above

Subsidy is not provided to demerit goods (External cost)

19 Which people are **most** likely to gain at a time of inflation?

- A companies who sell abroad
- B foreign tourists visiting the country
- C those living on their savings
- D those who are repaying borrowed money

Loss, exports uncompetitive

will find goods and services expensive.

value of savings ↓

As they have to return less

- 20 The government of country Z announces an increase in spending on work-place training.

What is the effect of this supply-side policy likely to be? $AS \uparrow$

- A a decrease in country Z's employment rate *Training, long term policy.*
 B a decrease in country Z's exchange rate *Unrelated to interest rate*
 C an increase in country Z's economic growth rate $AS \uparrow, P \downarrow, \text{real output} \uparrow$
 D an increase in country Z's interest rate *Unrelated*

- 21 The table shows real GDP in US\$ billion for a country over a three-year period.

To calculate rate, apply,

$$\frac{\text{New} - \text{Old}}{\text{Old}} \times 100$$

year	real GDP US\$ billion
1	205
2	215
3	219

$\uparrow$] 4.9%

$\uparrow$] 1.9%

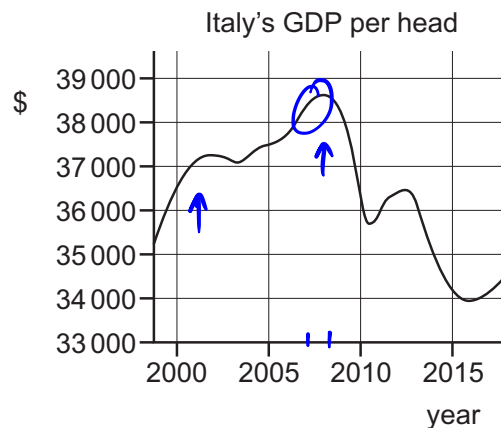
What does the GDP data indicate for the country between year 1 and year 3?

- A a reduction in the rate of inflation *Real GDP $\uparrow$, AD $\uparrow$, $P \uparrow$*
 B an increase in the rate of economic growth *no, rate $\downarrow$, 4.9% to 1.9%.*
 C the existence of economic growth *Yes, real GDP $\uparrow$*
 D the existence of economic growth per capita *population data not given.*

- 22 What is a likely consequence of a falling level of unemployment? *Unemployment $\downarrow$*

- A downward pressure on wage rates *, employment $\uparrow$, wages $\uparrow$*
 B increase in welfare benefit payments *, employment $\uparrow$, benefits $\downarrow$*
 C rise in absolute poverty *, employment $\uparrow$, absolute poverty $\downarrow$, relative poverty exists*
 D rise in income tax revenue *employment $\uparrow$*
 Direct tax revenue (e.g. income tax)
 Indirect tax revenue (e.g. spending)

- 23 The diagrams show Italy's unemployment rate and GDP per head. $\frac{8\%}{\text{GDP}} \rightarrow \frac{\text{GDP}}{\text{Total population}}$



When do Italy's unemployment rate and GDP per head rise at the same time?

- A 2000–2001
 ✓ B 2007–2008 *Correct*
 C 2009–2010
 D 2014–2015
- 24 During a recession, many people in a city become unemployed and their incomes fall. Some people can no longer pay the rent on their houses or buy the food they need.

What is the effect of the recession in the city?

	absolute poverty	relative poverty
✓ A	increases ✓	increases ✓
B	increases	unchanged
C	unchanged	increases
D	unchanged	unchanged

* Absolute poverty refers to when a person or household does not have the minimum amount of income needed to meet the minimum living requirements needed over an extended period of time. In other words, they cannot meet their basic needs. When an individual goes below this threshold their survival is threatened.

* Absolute Poverty is used to describe a condition where an individual does not have the financial means to obtain commodities to sustain life. Relative Poverty refers to the standard of living compared to economic standards of living within the same surroundings.

- 25 The Peruvian government set itself the target of reducing the number of its population in poverty.

What change does **not** indicate that the Peruvian government had made progress towards this target?

- A a rise in employment, *employment ↑, poverty ↓*
 B a rise in infant mortality, *infant deaths*
 C a rise in life expectancy, *health care improves, poverty ↓*
 D a rise in the level of adult literacy, *education ↑, poverty ↓*

* Infant mortality refers to the death of an infant between 1 day and 1 year of age. (Deaths before age 28 days can also be classified as neonatal mortality.) There are many causes of infant mortality, ranging from infections to accidents.

- 26 What is **not** a reason for the decline in manufacturing industries in developed economies in recent years?

- A growth of newly industrialised competitor countries, *Decline, competitors ↑*
 B invention of automated production methods, *Not decline*
 C rising costs of factor inputs in the steel industry, *cost ↑, decline*
 D considerable skill shortages as school-leavers prefer to work in the service sector, *Decline*
↳ lack of demand

- 27 The table shows a country's exports and imports.

	\$m	
exports of goods	200	
imports of goods	(190)	+10
exports of services	35	
imports of services	(38)	-3
		+7

What was the country's balance of trade in goods and services?

- A a deficit of \$7 million
 B a deficit of \$13 million
 C a surplus of \$7 million
 D a surplus of \$13 million

+ :- surplus
 - :- deficit

Dumping

- 28 Country X exports steel to country Y at a price below its cost of production. This has led to a fall in demand for steel produced in country Y.

What is a method of trade protection that country Y could use to reduce the imports of steel from country X?

- ☒ A apply anti-dumping tariffs
- ☐ B increase interest rates *Contractionary fiscal policy*
- ☐ C revalue the currency *Appreciation, leads to trade deficit*
- ☐ D subsidise the export of steel *Won't stop dumping*

- 29 What would increase the demand for a country's currency on the foreign exchange market?

- ☐ A a decrease in its inward investment *FDI ↓, Demand £ ↓, value ↓*
- ☐ B a decrease in its rate of interest *↓, FDI ↓, same as above*
- ☒ C an increase in its exports *X ↑, payment received ↑, Demand £ ↑, value ↑*
- ☐ D an increase in its imports *M ↑, payments made, Supply £ ↑, value ↓*

- 30 Country X has a persistent deficit on the current account of the balance payments.

Which policy measure is **most** likely to improve this situation?

- ☒ A lowering import quotas *, reducing the quantity of imported goods that can be imported.*
- ☐ B lowering income tax
- ☐ C lowering import tariffs *→ M prices ↓, M(IE) ↑, deficit ↑*
- ☐ D lowering export subsidies *→ Exports uncompetitive, deficit ↑*

Spending ↑
M ↑

Question	Answer	Marks
1	D	1
2	D	1
3	D	1
4	C	1
5	A	1
6	C	1
7	A	1
8	B	1
9	B	1
10	C	1
11	C	1
12	D	1
13	D	1
14	D	1
15	A	1
16	B	1
17	C	1
18	B	1
19	D	1
20	C	1
21	C	1
22	D	1
23	B	1
24	A	1
25	B	1
26	B	1
27	C	1
28	A	1

Question	Answer	Marks
29	C	1
30	A	1